

was its introduction of 'paired contracts' to sidestep the rule banning forward contracts. NSEL was now no longer a pure spot exchange connecting sellers with buyers. It had become a platform where commodity farmers/traders could raise working capital till they managed to find a buyer for their produce at a price of their liking.

The paired contracts allowed them to borrow funds through a two-legged transaction. In the first leg, the seller would enter into a T+2 contract where he would sell his produce to the buyer at a certain price. The buyer had to pay up on the second day of the trade being put through. At the same time when this trade was being put through, the buyer would enter into a T+35 contract, selling the produce back to the commodity farmer/trader at a price slightly higher than he had bought it for. This, in effect, was the interest charge the seller was paying the buyer for the funds.

For example, a commodity seller would sell his produce to the buyer for Rs 100 in the T+2 leg and agree to buy back the produce from the buyer for Rs 101 a good 35 days later. Interestingly, the commodity seller never bought back the produce on the 35th day. The transaction would get carried forward, with the seller agreeing to pay additional interest. This cycle was repeated for months on end without the commodities ever moving out of the warehouses. The annualized rate of interest worked out to 14-15 per cent, which was much higher than traditional bank deposit rates.

The so-called 'buyers' of the commodities were no longer genuine buyers of commodities but investors looking to earn a return of 12-15 per cent on their funds. Brokerages started marketing this product as something of an assured-return scheme, where the expected returns could only be higher and never lower. The brokerages too gained from this racket, as they would lend funds to their clients at 12 per cent, which would then be invested in the paired contracts earning 15 per cent. Every month, when the contracts were rolled forward, the brokerages would deduct their interest charge and credit the rest to their clients' accounts.

The 'buyers' did not realize their counterparties were no longer genuine sellers of commodities. The 'sellers' were now mostly, or entirely, entities seeking to borrow money at 14-15 per cent to deploy it elsewhere for bigger returns. As subsequent investigations showed, there were around 13,000 investors who were lending money to twenty-five borrowers on NSEL.

It never occurred to anybody how the same stock of sugar, cumin, castor oil, paddy, raw wool and castor seed could be pledged for months on end